

Broad Transactions 

852 Reorganizations

852 Reorganizations

10 Overall

00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

852-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Plan (1st def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
	Plan of Reorganization (formerly Plan (1st def.))	Added	Accounting Standards Update No. 2014-06	03/14/2014
	Reorganization Value	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	852-10-05-3	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	852-10-45-4	Amended	Accounting Standards Update No. 2014-06	03/14/2014
	852-10-45-9	Amended	Accounting Standards Update No. 2015-01	01/09/2015
	852-10-45-13	Amended	Accounting Standards Update No. 2020-10	10/29/2020
	852-10-45-21	Amended	Maintenance Update 2017-19 	11/15/2017
	852-10-45-29	Amended	Maintenance Update 2017-19 	11/15/2017
	852-10-50-6A	Added	Accounting Standards Update No. 2020-10	10/29/2020
	852-10-55-3	Amended	Accounting Standards Update No. 2025-12	12/17/2025
	852-10-55-9 through 55-11	Amended	Accounting Standards Update No. 2025-12	12/17/2025
	852-10-55-9	Amended	Maintenance Update 2020-18 	11/25/2020
	852-10-55-10	Amended	Maintenance Update 2020-18 	11/25/2020
	852-10-55-10	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	852-10-55-11	Amended	Maintenance Update 2016-11 	06/27/2016
	852-10-55-11	Amended	Accounting Standards Update No. 2012-04	10/01/2012
	852-10-60-1	Amended	Accounting Standards Update No. 2013-07	04/22/2013

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 852-10-05-1** The Reorganizations Topic includes the following Subtopics:
- Overall
 - Quasi-Reorganizations
 - Income Taxes.
- 852-10-05-2** This Subtopic addresses the accounting and financial statement disclosure for entities that have filed petitions with the [Bankruptcy Court](#) and expect to reorganize as going concerns under Chapter 11 of the [Bankruptcy Code](#). This Subtopic necessarily contains many references to provisions of the Bankruptcy Code; however, the material in this Subtopic should not be relied upon as definitive interpretations of the law for any purposes. The accounting and reporting guidance in this Subtopic is incremental to guidance that otherwise applies to an entity.
- 852-10-05-3** An entity enters reorganization under [Chapter 11](#) by filing a [petition](#) with the Bankruptcy Court, an adjunct of the United States District Courts. The filing of the petition starts the [reorganization proceeding](#). The goal of the proceeding is to maximize recovery by creditors and shareholders by preserving it as a viable entity with a going concern value. For that purpose, the entity prepares a [plan of reorganization](#) intended to be confirmed by the court. The plan provides for treatment of all the assets and liabilities of the debtor, which might result in forgiveness of indebtedness. For the plan to be confirmed and the reorganization proceedings thereby concluded, the consideration to be received by parties in interest under the plan must exceed the consideration they would otherwise receive on liquidation of the entity under Chapter 7 of the Bankruptcy Code. The court may confirm a plan even if some classes of creditors or some of the stockholders have not accepted it, provided that it meets standards of fairness required by Chapter 11 to the dissenting class of creditors or the dissenting stockholders.
- 852-10-05-4** The plan is the heart of every Chapter 11 reorganization. The provisions of the plan specify the treatment of all creditors and equity holders upon its approval by the Bankruptcy Court. Moreover, the plan shapes the financial structure of the entity that emerges.
- 852-10-05-5** Chapter 11 provides that, unless a [trustee](#) is appointed, the debtor has the exclusive right to file a plan for the first 120 days of the case, or such longer or shorter time as the Bankruptcy Court decrees, for cause. If a plan is filed within the exclusive period, additional time is provided to allow the debtor to obtain plan acceptance. The appointment of the trustee immediately terminates the debtor's exclusive right to file a plan, and any party in interest may then do so.

- 852-10-05-6** Except to the extent that specific debts are determined by the Bankruptcy Court not to be discharged by the plan, the provisions of a [confirmed plan](#) bind the debtor, any entity issuing securities under the plan, any entity acquiring assets under the plan, and any creditor, equity security holder, or general partner in the debtor, regardless of whether the [claim](#) is impaired under the plan and whether such creditor, equity security holder, or general partner has accepted the plan. A claim is impaired if, subject to certain rights to cure defaults, its legal rights are affected adversely by the plan.
- 852-10-05-7** In general, except as provided in the plan or in the order confirming the plan, confirmation of the plan discharges the debtor from all preconfirmation claims and terminates all rights and interest of equity security holders or general partners as provided for in the plan.
- 852-10-05-8** The Bankruptcy Court confirms a plan if it finds all of the following:
- The plan and the plan proponent have complied with various technical requirements of the Bankruptcy Code.
 - Disclosures made in soliciting acceptance of the plan have been adequate.
 - Dissenting members of [consenting classes](#) of [impaired claims](#) would receive under the plan at least the amount they would have received under a [Chapter 7](#) proceeding.
 - Claims entitled to priority under the Bankruptcy Code will be paid in cash.
 - Confirmation of the plan is not likely to be followed by liquidation or further reorganization.
 - At least one class of impaired claims, apart from insiders, has accepted the plan.
 - The plan proponent has obtained the consent of all impaired classes of claims or equity securities, or the plan proponent can comply with the [cram-down provisions](#) of the Bankruptcy Code. Under the cram-down provisions, the court may confirm a plan even if one or more classes of holders of impaired claims or equity securities do not accept it, as long as the court finds the plan does not discriminate unfairly and is fair and equitable to each [nonconsenting class](#) impaired by the plan.
- 852-10-05-9** In general, a [secured claim](#) is deemed to be treated fairly and equitably if it remains adequately collateralized and will receive a stream of payments whose discounted value equals the amount of the secured claim on the effective date of the plan. In general, an [unsecured claim](#) is deemed to be treated fairly and equitably if it receives assets whose discounted value equals the allowed amount of the claim, or if the holder of any claim or equity security interest that is junior to the dissenting class will not receive or retain any assets under the plan. Similarly, an equity security interest is deemed fairly and equitably treated if that interest receives assets whose discounted value equals the greatest of any fixed liquidation preference, any fixed redemption price, or the value of such interest, or if no junior equity security interest will receive any assets under the plan.

> Reorganization Value

- 852-10-05-10** An important part of the process of developing a plan is the determination of the [reorganization value](#) of the entity that emerges from bankruptcy. Reorganization value generally approximates fair value of the entity before considering liabilities and approximates the amount a willing buyer would pay for the assets of the entity immediately after the restructuring. The reorganization value of an entity is the amount of resources available and to become available for the satisfaction of [postpetition liabilities](#) and [allowed claims](#) and interest, as negotiated or litigated between the [debtor-in-possession](#) or trustee, the creditors, and the holders of equity interests. Reorganization value includes the sum of the value attributed to the reconstituted entity and other assets of the debtor that will not be included in the reconstituted entity. Reorganization value and the terms of the plan are determined only after extensive arm's-length negotiations or litigation between the interested parties. Before the negotiations, the debtor-in-possession, creditors, and equity holders develop their own ideas on the reorganization value of the entity that will emerge from Chapter 11. Several methods are used to determine the reorganization value; however, generally it is determined by discounting future cash

flows for the reconstituted business that will emerge from Chapter 11 and from expected proceeds or collections from assets not required in the reconstituted business, at rates reflecting the business and financial risks involved.

> The Disclosure Statement

- 852-10-05-11** A [disclosure statement](#) approved by the court is transmitted to all parties entitled to vote on the plan at or before the time their acceptance of the plan is solicited. The disclosure statement provides information that enables them to make informed judgments about the plan.
- 852-10-05-12** No postpetition solicitation of acceptance of a plan may be made unless by the time of the solicitation a disclosure statement previously approved by the Bankruptcy Court has been sent to those whose acceptance is required. The disclosure statement must contain adequate information, which is defined in the Bankruptcy Code as information that would enable a hypothetical reasonable investor typical of holders of claims or interests of the relevant class to make an informed judgment about the plan, as far as it is reasonably practicable to provide in light of the nature and history of the [emerging entity](#) and the condition of the emerging entity's records. Examples of the kinds of items that may be included in disclosure statements to provide such information include a summary of the reorganization plan, historical and prospective financial information, and a pro forma balance sheet reporting the reorganization value and the capital structure of the emerging entity.
- 852-10-05-13** What constitutes adequate information depends on the circumstances of the entity in Chapter 11, the nature of the plan, and the sophistication of the various classes whose acceptance is required. Although a valuation is not required for a Bankruptcy Court's approval of a disclosure statement, the instances in which valuations are not made are generally restricted to those in which the reorganization value of the emerging entity is greater than the liabilities or in which holders of existing voting shares retain more than 50 percent of the emerging entity's voting shares when the entity emerges from reorganization.
- 852-10-05-14** After reorganization proceedings have started, acceptances of a plan may not be solicited by any person without a disclosure statement approved by the court, but acceptances obtained before the proceedings started may be counted if they were solicited in compliance with applicable nonbankruptcy law governing the adequacy of disclosure or there is not any applicable nonbankruptcy law but there was in fact adequate information provided at the time of the prebankruptcy solicitation of acceptances of the plan.
- 852-10-05-15** While the court determines the adequacy of the disclosure statement, entities that expect to adopt fresh-start reporting (see Section [852-10-45](#) for guidance on what is referred to as fresh-start reporting) should report information about the reorganization value in the disclosure statement, so that creditors and stockholders can make an informed judgment about the plan. The most likely place to report the reorganization value is in the pro forma balance sheet that is commonly part of the disclosure statement. Because reorganization value may not have been allocated to individual assets concurrently with the preparation of the pro forma balance sheet included in the disclosure statement in some cases, it may be necessary to include in the pro forma balance sheet a separate line item to reflect the difference of the total reorganization value of the emerging entity over recorded amounts. When possible, reorganization value should be segregated into major categories.

> The Financial Reporting Consequences of the Absolute Priority Doctrine

- 852-10-05-16** Under the [absolute priority doctrine](#) of the Bankruptcy Code, if the amount of postpetition liabilities and allowed claims exceeds the reorganization value of the emerging entity, existing shareholders lose their legal right to any economic interest without the consent of creditors. Therefore, any equity

interest in the emerging entity ultimately held by existing shareholders is given to them by the creditors. Among the reasons the creditors might give such shareholders equity interests in the emerging entity are to avoid the expensive and time-consuming legal proceedings necessary to implement the cram-down provisions of the Bankruptcy Code or to preserve continuity of management. Consequently, in this situation, if all of the conditions stated in paragraph [852-10-45-19](#) are met, then upon an entity's emergence from Chapter 11, this Subtopic requires the entity to adopt fresh-start reporting.

> Terms

- 852-10-05-17** The following terms are widely used when addressing reorganizations, yet are not included in the text of the standards:
- a. [Administrative expenses](#)
 - b. [Obligations subject to compromise](#)
 - c. [Undersecured claim](#).

10 Objectives

i General Note: The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 852-10-10-1** Presenting an entity's financial evolution in its financial statements during a [Chapter 11 reorganization proceeding](#) is an objective of the guidance in this Subtopic.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

852-10-15-1 This Subtopic provides guidance on financial reporting by entities that have filed petitions with the [Bankruptcy Court](#) and expect to reorganize as going concerns under Chapter 11 of title 11 of the United States Code. The guidance in this Subtopic applies to all entities except governmental organizations.

> Transactions

852-10-15-2 The guidance in this Subtopic applies to the following transactions and activities:

- a. Reorganizations by entities that expect to reorganize as a going concern under [Chapter 11](#)
- b. Reorganizations by entities upon emergence from Chapter 11 under confirmed plans.

852-10-15-3 The guidance in this Subtopic does not apply to the following transactions and activities:

- a. Debt restructurings outside of Chapter 11
- b. Reorganization activities consisting of liquidation or adoption of plans of liquidation under the [Bankruptcy Code](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Absolute Priority Doctrine

A doctrine that provides that if an impaired class does not vote in favor of a plan, the court may nevertheless confirm the plan under the [cram-down provisions](#) of the [Bankruptcy Code](#). The absolute priority doctrine is triggered when the cram-down provisions apply. The doctrine states that all members of the senior class of creditors and equity interests must be satisfied in full before the members of the second senior class of creditors can receive anything, and the full satisfaction of that class must occur before the third senior class of creditors may be satisfied, and so on.

Administrative Expenses

[Claims](#) that receive priority over all other unsecured claims in a bankruptcy case. Administrative expenses (sometimes referred to as administrative claims) include the actual, necessary costs and expenses of preserving the estate, including wages, salaries, or commissions for services rendered after the commencement of the case. Fees paid to professionals for services rendered after the petition is filed are considered administrative expenses.

Allowed Claim

The amount allowed by the [Bankruptcy Court](#) as a claim against the estate. This amount may differ from the actual settlement amount.

Automatic Stay Provisions

Provisions causing the filing of a petition under the [Bankruptcy Code](#) to automatically stay virtually all actions of creditors to collect prepetition debts. As a result of the stay, no party, with minor exceptions, having a security or adverse interest in the debtor's property can take any action that will interfere with the debtor or the debtor's property, regardless of where the property is located or who has possession, until the stay is modified or removed.

Bankruptcy Code

A federal statute, enacted October 1, 1979, as title 11 of the United States Code by the Bankruptcy Reform Act of 1978, that applies to all cases filed on or after its enactment and that provides the basis for the current federal bankruptcy system.

Bankruptcy Court

The United States Bankruptcy Court is an adjunct of the United States District Courts. Under the jurisdiction of the District Court, the Bankruptcy Court is generally responsible for cases filed under Chapters 7, 11, 12, and 13 of the Bankruptcy Code.

Chapter 11

A reorganization action, either voluntarily or involuntarily initiated under the provisions of the [Bankruptcy Code](#), that provides for a reorganization of the debt and equity structure of the business and allows the business to continue operations. A debtor may also file a plan of liquidation under Chapter 11.

Chapter 7

A liquidation, voluntarily or involuntarily initiated under the provisions of the [Bankruptcy Code](#), that provides for liquidation of the business or the debtor's estate.

Claim

As defined by Section 101(4) of the [Bankruptcy Code](#), a right to payment, regardless of whether the right is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, legal, secured, or unsecured, or a right to an equitable remedy for breach of performance if such breach results in a right to payment, regardless of whether the right is reduced to a fixed, contingent, matured, unmatured, disputed, undisputed, secured, or unsecured right.

Confirmed Plan

An official approval by the court of a plan of reorganization under a [Chapter 11](#) proceeding that makes the plan binding on the debtors and creditors. Before a plan is confirmed, it must satisfy 11 requirements in section 1129(a) of the [Bankruptcy Code](#).

Consenting Classes

Classes of creditors or stockholders that approve the proposed plan.

Cram-Down Provisions

Provisions requiring that for a plan to be confirmed, a class of [claims](#) or interests must either accept the plan or not be impaired. However, the [Bankruptcy Code](#) allows the [Bankruptcy Court](#) under certain conditions to confirm a plan even though an impaired class has not accepted the plan. To do so, the plan must not discriminate unfairly and must be fair and equitable to each class of claims or interests impaired under the plan that have not accepted it. The Bankruptcy Code states examples of conditions for secured claims, unsecured claims, and stockholder interests in the fair and equitable requirement.

Debtor-in-Possession

Existing management continuing to operate an entity that has filed a petition under [Chapter 11](#). The debtor-in-possession is allowed to operate the business in all Chapter 11 cases unless the court, for cause, authorizes the appointment of a [trustee](#).

Disclosure Statement

A written statement containing information approved as adequate by the court. It is required to be presented by a party before soliciting the acceptance or rejection of a plan of reorganization from creditors and stockholders affected by the plan. Adequate information means information of a kind, and in sufficient detail, as far as is reasonably practicable in light of the nature and history of the debtor and the condition of the debtor's records, that would enable a hypothetical reasonable investor typical of holders of [claims](#) or interests of the relevant class to make an informed judgment about the plan.

Emerging Entity

An entity (sometimes referred to as the reorganized entity), that has had its plan confirmed and begins to operate as a new entity.

Impaired Claims

In determining which class of creditors' claims or stockholders' interests must approve the plan, it is first necessary to determine if the class is impaired. A class of creditors' [claims](#) or stockholders' interests under a plan is not impaired if the plan leaves unaltered the legal, equitable, and contractual

right of a class, cures defaults that lead to acceleration of debt or equity interest, or pays in cash the full amount of the claim, or for equity interests, the greater of the fixed liquidation preference or redemption price.

Liquidating Bank

A bank with a substantial amount of nonperforming assets may transfer some or all of those assets to a newly created bank whose stock will be distributed to existing shareholders or to new investors. The newly created bank will be a liquidating bank; that is, it will manage the assets it receives and collect cash from loan repayments or dispositions of assets. All cash remaining after paying expenses and debt service, if any, will be distributed to the shareholders of the liquidating bank. The liquidating bank will likely be in the process of liquidation for several years.

Nonconsenting Class

A class of creditors or stockholders that does not approve the proposed plan.

Obligations Subject to Compromise

Includes all prepetition liabilities ([claims](#)) except those that will not be impaired under the plan, such as claims in which the value of the security interest is greater than the claim.

Petition

A document filed in a court of bankruptcy, initiating proceedings under the [Bankruptcy Code](#).

Plan of Reorganization

An agreement formulated in [Chapter 11](#) proceedings under the supervision of the [Bankruptcy Court](#) that enables the debtor to continue in business. The plan, once confirmed, may affect the rights of undersecured creditors, secured creditors, and stockholders as well as those of unsecured creditors. Before a plan is confirmed by the Bankruptcy Court, it must comply with general provisions of the [Bankruptcy Code](#). Those provisions mandate, for example, that the plan is feasible, the plan is in the best interest of the creditors, and, if an impaired class does not accept the plan, the plan must be determined to be fair and equitable before it can be confirmed.

Postpetition Liabilities

Liabilities incurred after the filing of a petition that are not associated with prebankruptcy events. Thus, these liabilities are not considered [prepetition liabilities](#).

Prepetition Liabilities

Liabilities that were incurred by an entity before its filing of a petition for protection under the [Bankruptcy Code](#) including those considered by the [Bankruptcy Court](#) to be prepetition [claims](#), such as a rejection of a lease for real property.

Reorganization Items

Items of income, expense, gain, or loss that are realized or incurred by an entity because it is in reorganization.

Reorganization Proceeding

A [Chapter 11](#) case from the time at which the petition is filed until the plan is confirmed.

Reorganization Value

The value attributed to the reconstituted entity, as well as the expected net realizable value of those assets that will be disposed of before reconstitution occurs. Therefore, this value is viewed as the value of the entity before considering liabilities and approximates the amount a willing buyer would pay for the assets of the entity immediately after the restructuring.

Secured Claim

A liability that is secured by collateral. A fully secured [claim](#) is one in which the value of the collateral is greater than the amount of the claim.

Terminal Value

A component of [reorganization value](#).

Reorganization value calculated based on the discounting of cash flows normally consists of three parts; the discounted cash flows determined for the forecast period, the residual value or terminal value, and the current value of any excess working capital or other assets that are not needed in reorganization. Terminal or residual value represents the present value of the business attributable to the period beyond the forecast period.

Trustee

A person appointed by the [Bankruptcy Court](#) in certain situations based on the facts of the case, not related to the size of the entity or the amount of unsecured debt outstanding, at the request of a party in interest after a notice and hearing.

Undersecured Claim

A [secured claim](#) whose collateral is worth less than the amount of the [claim](#). Sometimes referred to as an undersecured claim liability.

Unsecured Claim

A liability that is not secured by collateral. In the case of an undersecured creditor, the excess of the [secured claim](#) over the value of the collateral is an unsecured claim, unless the debtor elects in a [Chapter 11](#) proceeding to have the entire [claim](#) considered secured. The term is generally used in bankruptcy to refer to unsecured claims that do not receive priority under the [Bankruptcy Code](#). Sometimes referred to as an unsecured claim liability.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 852-10-25-1** As explained in paragraph [852-10-45-1](#), entering a [reorganization proceeding](#), although a significant event, does not ordinarily affect or change the application of generally accepted accounting principles (GAAP) followed by the entity in the preparation of its financial statements. However, the needs of financial statement users change, and thus changes in the reporting practices previously followed by the entity are necessary.
- 852-10-25-2** See Section [852-10-45](#) for financial statement presentation guidance applicable to entities during and after reorganization proceedings.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 852-10-30-1** As explained in paragraph [852-10-45-1](#), entering a [reorganization proceeding](#), although a significant event, does not ordinarily affect or change the application of generally accepted accounting principles (GAAP) followed by the entity in the preparation of its financial statements. However, the needs of financial statement users change, and thus changes in the reporting practices previously followed by the entity are necessary.

852-10-30-2 See Section [852-10-45](#) for financial statement presentation guidance applicable to entities during and after reorganization proceedings.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

 [Related Proposed ASUs](#)

> Financial Reporting during Reorganization Proceedings

852-10-45-1 Entering a [reorganization proceeding](#), although a significant event, does not ordinarily affect or change the application of generally accepted accounting principles (GAAP) followed by the entity in the preparation of its financial statements. However, the needs of financial statement users change, and thus changes in the reporting practices previously followed by the entity are necessary.

852-10-45-2 For the purpose of presenting an entity's financial evolution during a [Chapter 11](#) reorganization (see paragraph [852-10-10-1](#)), the financial statements for periods including and after filing the Chapter 11 [petition](#) shall distinguish transactions and events that are directly associated with the reorganization from the ongoing operations of the business.

852-10-45-3 Example 1 (see paragraph [852-10-55-2](#)) provides an illustration of financial statements and notes thereto for an entity operating under Chapter 11.

· > Balance Sheet

852-10-45-4 The balance sheet of an entity in Chapter 11 shall distinguish [prepetition liabilities](#) subject to compromise from those that are not (such as fully secured liabilities that are expected not to be compromised) and [postpetition liabilities](#). Liabilities that may be affected by the plan shall be reported at the amounts expected to be allowed, even if they may be settled for lesser amounts. If there is uncertainty about whether a [secured claim](#) is undersecured, or will be impaired under the [plan of reorganization](#), the entire amount of the [claim](#) shall be included with prepetition claims subject to compromise; such a claim shall not be reclassified unless it is subsequently determined that the claim is not subject to compromise.

852-10-45-5 Prepetition liabilities, including claims that become known after a petition is filed, shall be reported on the basis of the expected amount of the [allowed claims](#) in accordance with Subtopic [450-20](#), as

opposed to the amounts for which those allowed claims may be settled. Once these claims satisfy the accrual provisions of that Subtopic, they shall be recorded in the accounts in accordance with this paragraph. Paragraph [852-10-50-2](#) notes that claims not subject to reasonable estimation are required to be disclosed in the notes to financial statements.

852-10-45-6 Debt discounts or premiums as well as debt issue costs shall be viewed as valuations of the related debt. When the debt has become an allowed claim and the allowed claim differs from the net carrying amount of the debt, the recorded amount shall be adjusted to the amount of the allowed claim (thereby adjusting existing discounts or premiums, and deferred issue costs to the extent necessary to report the debt at this allowed amount). The gain or loss resulting from the entries to record the adjustment shall be classified as reorganization items, as discussed in paragraph [852-10-45-9](#). Premiums and discounts as well as debt issuance cost on debts that are not subject to compromise, such as fully secured claims, shall not be adjusted.

852-10-45-7 Paragraph [852-10-45-4](#) addresses the separation of liabilities subject to compromise from those that are not. Circumstances arising during reorganization proceedings may require a change in the classification of liabilities between those subject to compromise and those not subject to compromise. Liabilities not subject to compromise shall be further segregated into current and noncurrent classifications if the entity presents a classified balance sheet.

852-10-45-8 Section [470-10-45](#) requires current liabilities classification in a classified balance sheet for long-term liabilities that, by their terms, are due on demand or will be due on demand within one year, or the operating cycle, if longer. This classification requirement also applies to long-term liabilities that are or will be callable by the creditor because of a violation of a provision of the debt agreement. The [automatic stay provisions](#) of Chapter 11 make it unnecessary to reclassify prepetition long-term liabilities even though prepetition creditors might demand payment or there is a violation of a covenant in the debt agreement.

· > Statement of Operations

852-10-45-9 The statement of operations shall portray the results of operations of the reporting entity while it is in Chapter 11. Revenues, expenses (including professional fees), realized gains and losses, and provisions for losses resulting from the reorganization and restructuring of the business shall be reported separately as [reorganization items](#), except for those required to be reported as discontinued operations in conformity with Subtopic [205-20](#).

852-10-45-10 It is not appropriate to defer professional fees and similar types of expenditures until the plan is confirmed and then reduce gain from debt discharge to the extent of the previously deferred expenses. It is also not appropriate to accrue professional fees and similar types of expenditures upon the filing of the Chapter 11 petition. Rather, because professional fees and similar types of expenditures directly relating to the Chapter 11 proceeding do not result in assets or liabilities, they shall be expensed as incurred and reported as reorganization items.

852-10-45-11 Interest expense shall be reported only to the extent that it will be paid during the proceeding or that it is probable that it will be an allowed priority, secured, or unsecured claim. Interest expense is not a reorganization item.

852-10-45-12 Interest income earned by an entity in Chapter 11 that it would not have earned but for the proceeding, normally all interest income, shall be reported as a reorganization item.

· > Statement of Cash Flows

852-10-45-13 Reorganization items shall be presented separately within the operating, investing, and financing categories of the statement of cash flows. This presentation can be better accomplished by the use of the direct method of presenting the statement. Paragraph [230-10-45-25](#) lists the operating items that

shall be reported separately when the direct method is used. That paragraph encourages further breakdown of those operating items if the entity considers such a breakdown meaningful and feasible. Further identification of cash flows from reorganization items should be provided to the extent feasible. For example, interest received might be segregated between estimated normal recurring interest received and interest received on cash accumulated because of the reorganization. If the indirect method is used, details of operating cash receipts and payments resulting from the reorganization shall be disclosed in a supplementary schedule or in the notes to financial statements. (See paragraph [852-10-50-6A](#).)

· > Condensed Combined Financial Statements

852-10-45-14 Consolidated financial statements that include one or more entities in reorganization proceedings and one or more entities not in reorganization proceedings shall include condensed combined financial statements of the entities in reorganization proceedings. The combined financial statements shall be prepared on the same basis as the consolidated financial statements.

852-10-45-15 In addition to making the required paragraph [852-10-50-4](#) disclosures, the propriety of the carrying amounts of intra-entity receivables from entities in Chapter 11 shall be evaluated.

· > EPS

852-10-45-16 Earnings per share (EPS) shall be reported, if required, in conformity with Topic [260](#). If it is probable that the plan will require the issuance of common stock or common stock equivalents, thereby diluting current equity interests, that fact shall be disclosed.

> Financial Reporting When Entities Emerge from Chapter 11 Reorganization

852-10-45-17 Entities whose plans have been confirmed by the court and have thereby emerged from Chapter 11 shall apply the reporting principles in paragraphs [852-10-45-19 through 45-29](#) as of the confirmation date or as of a later date, as discussed in the following paragraph, when all material conditions precedent to the plan's becoming binding are resolved.

852-10-45-18 The effects of a plan should be included in the entity's financial statements as of the date the plan is confirmed. However, inclusion shall be delayed to a date not later than the effective date if there is a material unsatisfied condition precedent to the plan's becoming binding on all the parties in interest or if there is a stay pending appeal. That might occur, for example, if obtaining financing for the plan or for the transfer of material assets to the debtor by a third party is a condition to the plan's becoming effective. Financial statements prepared as of the date after the parties in interest have approved a plan through the voting process, and issued after the plan has been confirmed by the court, shall report the effects of the plan if there are no material unsatisfied conditions.

· > Fresh-Start Reporting

852-10-45-19 If the reorganization value of the assets of the emerging entity immediately before the date of confirmation is less than the total of all postpetition liabilities and allowed claims, and if holders of existing voting shares immediately before confirmation receive less than 50 percent of the voting shares of the emerging entity, the entity shall adopt fresh-start reporting upon its emergence from Chapter 11. The loss of control contemplated by the plan must be substantive and not temporary. That is, the new controlling interest must not revert to the shareholders existing immediately before the plan was filed or confirmed.

- 852-10-45-20** Entities that adopt fresh-start reporting in conformity with the preceding paragraph shall apply the following principles:
- a. The reorganization value of the entity shall be assigned to the entity's assets and liabilities in conformity with the procedures specified by Subtopic [805-20](#). If any portion of the reorganization value cannot be attributed to specific tangible or identified intangible assets of the emerging entity, such amounts shall be reported as goodwill in accordance with paragraph [350-20-25-2](#).
 - b. [Subparagraph not used](#).
 - c. Deferred taxes shall be determined under the requirements of paragraph [852-740-45-1](#).
 - d. [Subparagraph not used](#).
- 852-10-45-21** The financial statements of the entity as of and for the period immediately preceding the date determined in conformity with the guidance in paragraph [852-10-45-17](#) shall reflect all activity through that date in conformity with the guidance in paragraphs [852-10-45-1 through 45-16](#). Additionally, the effects of the adjustments on the reported amounts of individual assets and liabilities resulting from the adoption of fresh-start reporting and the effects of the forgiveness of debt shall be reflected in the predecessor entity's final statement of operations. Forgiveness of debt, if any, shall be reported as an extinguishment of debt and classified in accordance with Subtopic [220-20](#). Adopting fresh-start reporting results in a new reporting entity with no beginning retained earnings or deficit. When fresh-start reporting is adopted, the notes to the initial fresh-start financial statements shall disclose the additional information identified in paragraph [852-10-50-7](#).
- 852-10-45-22** [Paragraph not used](#).
- 852-10-45-23** [Paragraph not used](#).
- 852-10-45-24** [Paragraph not used](#).
- 852-10-45-25** [Paragraph not used](#).

· · > Comparative Financial Statements

- 852-10-45-26** Fresh-start financial statements prepared by entities emerging from Chapter 11 will not be comparable with those prepared before their plans were confirmed because they are, in effect, those of a new entity. Thus, comparative financial statements that straddle a confirmation date shall not be presented.
- 852-10-45-27** Regulatory agencies may require the presentation of predecessor financial statements. However, such presentations shall not be viewed as a continuum because the financial statements are those of a different reporting entity and are prepared using a different basis of accounting, and, therefore, are not comparable. Attempts to disclose and explain exceptions that affect comparability would likely result in reporting that is so unwieldy it would not be useful.
- 852-10-45-28** Example 2 (see paragraph [852-10-55-4](#)) provides an illustration of fresh-start reporting and the related illustrative notes to financial statements.

· > Reporting by Entities Not Qualifying for Fresh-Start Reporting

- 852-10-45-29** Entities emerging from Chapter 11 that do not meet the criteria in paragraph [852-10-45-19](#) do not qualify for fresh-start reporting. Liabilities compromised by confirmed plans shall be stated at present values of amounts to be paid, determined at appropriate current interest rates. Forgiveness of debt, if

any, shall be reported as an extinguishment of debt and classified in accordance with Subtopic [220-20](#).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

852-10-50-1 This Section provides incremental disclosure guidance for entities with transactions within the scope of this Subtopic. It is incremental to disclosure guidance otherwise applicable to an entity under other generally accepted accounting principles (GAAP).

> Financial Reporting during Reorganization Proceedings

852-10-50-2 The notes to financial statements of an entity in Chapter 11 shall disclose both of the following:

- a. [Claims](#) not subject to reasonable estimation based on the provisions of Subtopic [450-20](#)
- b. The principal categories of the claims subject to compromise.

852-10-50-3 The extent to which reported interest expense differs from stated contractual interest shall be disclosed. It may be appropriate to disclose this parenthetically on the face of the statement of operations.

852-10-50-4 Intra-entity receivables and payables of entities in reorganization proceedings shall be disclosed in the condensed combined financial statements referred to in paragraph [852-10-45-14](#).

852-10-50-5 Paragraph [852-10-45-16](#) identifies a situation in which disclosure of a probable issuance of common stock or common stock equivalents is required.

852-10-50-6 Example 1 (see paragraph [852-10-55-2](#)) provides an illustration of financial statements and notes thereto for an entity operating under [Chapter 11](#).

852-10-50-6A If the indirect method is used to prepare the statement of cash flows, details of operating cash receipts and payments resulting from the reorganization shall be disclosed in a supplementary schedule or in the notes to financial statements. (See paragraph [852-10-45-13](#).)

> Financial Reporting When Entities Emerge from Chapter 11 Reorganization and Adopt Fresh-Start Reporting

852-10-50-7

Paragraph [852-10-45-21](#) requires additional information to be disclosed in the notes to the initial fresh-start financial statements when fresh-start reporting is adopted. That additional information consists of all of the following:

- a. Adjustments to the historical amounts of individual assets and liabilities
- b. The amount of debt forgiveness
- c. Significant matters relating to the determination of [reorganization value](#), including all of the following:
 1. The method or methods used to determine reorganization value and factors such as discount rates, tax rates, the number of years for which cash flows are projected, and the method of determining [terminal value](#)
 2. Sensitive assumptions—that is, assumptions about which there is a reasonable possibility of the occurrence of a variation that would have significantly affected measurement of reorganization value
 3. Assumptions about anticipated conditions that are expected to be different from current conditions, unless otherwise apparent.

852-10-50-8

[Paragraph not used.](#)

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

852-10-55-1

This Section is an integral part of the requirements of this Subtopic. This Section provides illustrations that address the application of requirements to specific aspects of accounting and reporting for entities in reorganization under Chapter 11 of the [Bankruptcy Code](#). The illustrations that follow may be based on provisions of law that are subject to change. These assumptions about the law are for illustrative purposes only.

> Illustrations

· > **Example 1: Illustrative Financial Statements and Notes to Financial Statements for an Entity Operating Under Chapter 11**

852-10-55-2

The following Example illustrates the guidance in paragraphs [852-10-45-1 through 45-13](#) and [852-10-50-2 through 50-3](#) relating to financial statement reporting practices during the period that an entity is in reorganization. Illustrative financial statements and accompanying notes follow.

852-10-55-3

XYZ Company is a manufacturing concern headquartered in Tennessee, with a fiscal year ending on December 31. On January 10, 19X1, XYZ filed a [petition](#) for relief under Chapter 11 of the federal bankruptcy laws. The following financial statements (balance sheet and statements of operations and cash flows) are presented as of and for the year ended December 31.

Illustrative Financial Statements and Notes to Financial Statements for an Entity Operating Under Chapter 11

XYZ Company (Debtor in Possession) Balance Sheet December 31, 19X1	
Assets	(000s)
Current assets	
Cash	\$ 110
Accounts receivable, net	300
Inventory	250
Other current assets	30
Total current assets	690
Property, plant and equipment, net	430
Goodwill	210
Total assets	<u>\$ 1,330</u>
Liabilities and Shareholders' Deficit	(000s)
Liabilities not subject to compromise current liabilities:	
Short-term borrowings	\$ 25
Accounts payable—trade	200
Other liabilities	50
Total current liabilities	275
Liabilities subject to compromise	1,100 ^(a)
Total liabilities	1,375
Shareholders' (deficit)	
Preferred stock	325
Common stock	75
Retained earnings (deficit)	(445)
Total liabilities & shareholders' (deficit)	<u>\$ 1,330</u>
(a) Liabilities subject to compromise consist of the following:	
Secured debt, 14%, secured by first mortgage on building	\$ 300,000 ^(b)
Priority tax claims	50,000
Senior subordinated secured notes, 15%	275,000
Trade and other miscellaneous claims	225,000
Subordinated debentures, 17%	250,000
	<u>\$ 1,100,000</u>

(b) The secured debt in this case should be considered, due to various factors, subject to compromise.

The accompanying notes are an integral part of the financial statements.

XYZ Company
(Debtor-in-Possession)
Statement of Operations
For the Year Ended December 31, 19X1
(000s)

	19X1
Revenues:	
Sales	\$ 2,400
Cost and expenses:	
Cost of goods sold	1,800
Selling, operating and administrative	550
Interest (contractual interest \$5)	3
	<u>2,353</u>
Earnings before reorganization items and income tax benefit	<u>47</u>
Reorganization items:	
Loss on disposal of facility	(60)
Professional fees	(50)
Provision for rejected executory contracts	(10)
Interest earned on accumulated cash resulting from Chapter 11 proceeding	1
	<u>(119)</u>
Loss before income tax benefit and discontinued operations	(72)
Income tax benefit	10
Loss before discontinued operations	(62)
Discontinued operations:	
Loss from operations of discontinued products segment	(56)
Net loss	<u>\$ (118)</u>
Loss per common share:	
Loss before discontinued operations	\$ (0.62)
Discontinued operations	\$ (0.56)
Net loss	<u>\$ (1.18)</u>

The accompanying notes are an integral part of the financial statements.

XYZ Company
(Debtor-in-Possession)
Statement of Cash Flows
For the Year Ended December 31, 19X1
Increase in Cash and Cash Equivalents
(000s)

	19X1
Cash flows from operating activities:	
Cash received from customers	\$ 2,220
Cash paid to suppliers and employees	(2,070)
Interest paid	(3)
Net cash provided by operating activities before reorganization items	<u>147</u>
Operating cash flows from reorganization items:	
Interest received on cash accumulated because of the Chapter 11 proceeding	1
Professional fees paid for services rendered in connection with the Chapter 11 proceeding	(50)
Net cash used by reorganization items	(49)
Net cash provided by operating activities	<u>98</u>
Cash flows from investing activities:	
Capital expenditures	(5)
Proceeds from sale of facility due to Chapter 11 proceeding	40
Net cash provided by investing activities	<u>35</u>
Cash flow used by financing activities:	
Net borrowings under short-term credit facility (post petition)	25
Repayment of cash overdraft	(45)
Principal payments on prepetition debt authorized by court	(3)
Net cash provided by financing activities	<u>(23)</u>
Net increase in cash and cash equivalents	110
Cash and cash equivalents at beginning of year	-
Cash and cash equivalents at end of year	<u>\$ 110</u>
Reconciliation of net loss to net cash provided by operating activities	
Net loss	\$ (118)
Adjustments to reconcile net loss to net cash provided by operating activities	
Depreciation	20
Loss on disposal of facility	60
Provision for rejected executory contracts	10
Loss on discontinued operations	56
Increase in postpetition payables and other liabilities	250
Increase in accounts receivable	(180)
Net cash provided by operating activities	<u>\$ 98</u>

The accompanying notes are an integral part of the financial statements.

XYZ Company Notes to Financial Statements December 31, 19X1

Note X—Petition for Relief Under Chapter 11

On January 10, 19X1, XYZ Company (the Debtor) filed petitions for relief under Chapter 11 of the federal bankruptcy laws in the United States Bankruptcy Court for the Western District of Tennessee. Under Chapter 11, certain claims against the Debtor in existence before the filing of the petitions for relief under the federal bankruptcy laws are stayed while the Debtor continues business operations as Debtor-in-possession. These claims are reflected in the December 31, 19X1, balance sheet as liabilities subject to compromise. Additional claims (liabilities subject to compromise) may arise after the filing date resulting from rejection of executory contracts, including leases, and from the determination by the court (or agreed to by parties in interest) of allowed claims for contingencies and other disputed amounts. Claims secured against the Debtor's assets (secured claims) also are stayed, although the holders of such claims have the right to move the court for relief from the stay. Secured claims are secured primarily by liens on the Debtor's property, plant, and equipment.

The Debtor received approval from the Bankruptcy Court to pay or otherwise honor certain of its prepetition obligations, including employee wages and product warranties. The Debtor has determined that there is insufficient collateral to cover the interest portion of scheduled payments on its prepetition debt obligations. Contractual interest on those obligations amounts to \$5,000, which is \$2,000 in excess of reported interest expense; therefore, the debtor has discontinued accruing interest on these obligations. See Note X in Example 2 (paragraph [852-10-55-11](#)) for a discussion of the credit arrangements entered into after the Chapter 11 filings.

 PENDING CONTENT


Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

XYZ Company is a manufacturing concern headquartered in Tennessee, with a fiscal year ending on December 31. On January 10, 19X1, XYZ filed a [petition](#) for relief under Chapter 11 of the federal bankruptcy laws. The following financial statements (balance sheet and statements of operations and cash flows) are presented as of and for the year ended December 31.

Illustrative Financial Statements and Notes to Financial Statements for an Entity Operating Under Chapter 11

XYZ Company (Debtor in Possession) Balance Sheet December 31, 19X1	
Assets	(000s)
Current assets	
Cash	\$ 110
Accounts receivable, net	300
Inventory	250
Other current assets	30
Total current assets	690
Property, plant and equipment, net	430
Goodwill	210
Total assets	<u>\$ 1,330</u>
Liabilities and Shareholders' Deficit	(000s)
Liabilities not subject to compromise current liabilities:	
Short-term borrowings	\$ 25
Accounts payable—trade	200
Other liabilities	50
Total current liabilities	275
Liabilities subject to compromise	1,100 ^(a)
Total liabilities	<u>1,375</u>
Shareholders' (deficit)	
Preferred stock	325
Common stock	75
Retained earnings (deficit)	<u>(445)</u>
Total liabilities & shareholders' (deficit)	<u>\$ 1,330</u>
(a) Liabilities subject to compromise consist of the following:	
Secured debt, 14%, secured by first mortgage on building	\$ 300,000 ^(b)
Priority tax claims	50,000
Senior subordinated secured notes, 15%	275,000
Trade and other miscellaneous claims	225,000
Subordinated debentures, 17%	250,000
	<u>\$ 1,100,000</u>
(b) The secured debt in this case should be considered, due to various factors, subject to compromise.	
The accompanying notes are an integral part of the financial statements.	

XYZ Company (Debtor-in-Possession) Statement of Operations For the Year Ended December 31, 19X1 (000s)	
	19X1
Revenues:	
Sales	\$ 2,400
Cost and expenses:	
Cost of goods sold	1,800
Selling, operating and administrative	550
Interest (contractual interest \$5)	3
	<u>2,353</u>
Earnings before reorganization items and income tax benefit	<u>47</u>
Reorganization items:	
Loss on disposal of facility	(60)
Professional fees	(50)
Provision for rejected executory contracts	(10)
Interest earned on accumulated cash resulting from Chapter 11 proceeding	1
	<u>(119)</u>
Loss before income tax benefit and discontinued operations	(72)
Income tax benefit	10
Loss before discontinued operations	<u>(62)</u>
Discontinued operations:	
Loss from operations of discontinued products segment	<u>(56)</u>
Net loss	<u>\$ (118)</u>
Loss per common share:	
Loss before discontinued operations	\$ (0.62)
Discontinued operations	<u>\$ (0.56)</u>

The accompanying notes are an integral part of the financial statements.

XYZ Company
(Debtor-in-Possession)
Statement of Cash Flows
For the Year Ended December 31, 19X1
Increase in Cash and Cash Equivalents
(000s)

	19X1
Cash flows from operating activities:	
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Operating cash flows from reorganization items:	
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Professional fees paid for services rendered in connection with the Chapter 11 proceeding	(50)
Net cash used in reorganization items	(49)
Net cash provided by operating activities	98
Cash flows from investing activities:	
Capital expenditures	(5)
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Cash flows from financing activities:	
Net borrowings under short-term credit facility (post petition)	25
Repayment of cash overdraft	(45)
Principal payments on prepetition debt authorized by court	(3)
Net cash used in financing activities	(23)
Net increase in cash and cash equivalents	110
Cash and cash equivalents at beginning of year	-
Cash and cash equivalents at end of year	\$ 110
Reconciliation of net loss to net cash provided by operating activities	
Net loss	\$ (118)
Adjustments to reconcile net loss to net cash provided by operating activities	
Depreciation	20
Loss on disposal of facility	60
Provision for rejected executory contracts	10
Loss on discontinued operations	56
Increase in postpetition payables and other liabilities	250
Increase in accounts receivable	(180)
Net cash provided by operating activities	\$ 98

The accompanying notes are an integral part of the financial statements.

XYZ Company Notes to Financial Statements December 31, 19X1

Note X—Petition for Relief Under Chapter 11

On January 10, 19X1, XYZ Company (the Debtor) filed petitions for relief under Chapter 11 of the federal bankruptcy laws in the United States Bankruptcy Court for the Western District of Tennessee. Under Chapter 11, certain claims against the Debtor in existence before the filing of the petitions for relief under the federal bankruptcy laws are stayed while the Debtor continues business operations as Debtor-in-possession. These claims are reflected in the December 31, 19X1, balance sheet as liabilities subject to compromise. Additional claims (liabilities subject to compromise) may arise after the filing date resulting from rejection of executory contracts, including leases, and from the determination by the court (or agreed to by parties in interest) of allowed claims for contingencies and other disputed amounts. Claims secured against the Debtor's assets (secured claims) also are stayed, although the holders of such claims have the right to move the court for relief from the stay. Secured claims are secured primarily by liens on the Debtor's property, plant, and equipment.

The Debtor received approval from the Bankruptcy Court to pay or otherwise honor certain of its prepetition obligations, including employee wages and product warranties. The Debtor has determined that there is insufficient collateral to cover the interest portion of scheduled payments on its prepetition debt obligations. Contractual interest on those obligations amounts to \$5,000, which is \$2,000 in excess of reported interest expense; therefore, the debtor has discontinued accruing interest on these obligations. See Note X in Example 2 (paragraph [852-10-55-11](#)) for a discussion of the credit arrangements entered into after the Chapter 11 filings.

· > Example 2: Fresh-Start Reporting and Illustrative Notes to Financial Statements

852-10-55-4 This Example illustrates the fresh-start-related guidance in paragraphs [852-10-45-19 through 45-27](#) and uses the same hypothetical XYZ Company as in Example 1 (see paragraph [852-10-55-2](#)). Illustrative accounting and associated note disclosures follow.

852-10-55-5 The Bankruptcy Court confirmed XYZ's plan of reorganization as of June 30, 19X2. It was determined that XYZ's reorganization value computed immediately before June 30, 19X2, the date of plan confirmation, was \$1,300,000, which consisted of the following.

Cash in excess of normal operating requirements generated by operations	\$ 150,000
Net realizable value of asset dispositions	75,000
Present value of discounted cash flows of the emerging entity	1,075,000
Reorganization value	<u>\$ 1,300,000</u>

852-10-55-6 XYZ Company adopted fresh-start reporting because holders of existing voting shares immediately before filing and confirmation of the plan received less than 50% of the voting shares of the emerging entity and its reorganization value is less than its postpetition liabilities and [allowed claims](#), as shown in the following table.

Postpetition current liabilities	\$ 300,000
Liabilities deferred pursuant to Chapter 11 proceeding	1,100,000
Total postpetition liabilities and allowed claims	<u>1,400,000</u>
Reorganization value	<u>(1,300,000)</u>
Excess of liabilities over reorganization value	<u>\$ 100,000</u>

852-10-55-7 The reorganization value of the XYZ Company was determined in consideration of several factors and by reliance on various valuation methods, including discounting cash flow and price/earnings and other applicable ratios. The factors considered by XYZ Company included all of the following:

- a. Forecasted operating and cash flow results that gave effect to the estimated impact of both of the following:
 1. Corporate restructuring and other operating program changes
 2. Limitations on the use of available net operating loss carryovers and other tax attributes resulting from the plan of reorganization and other events.
- b. The discounted residual value at the end of the forecast period based on the capitalized cash flows for the last year of that period
- c. Market share and position
- d. Competition and general economic considerations
- e. Projected sales growth
- f. Potential profitability
- g. Seasonality and working capital requirements.

852-10-55-8 After consideration of XYZ Company's debt capacity and other capital structure considerations, such as industry norms, projected earnings to fixed charges, earnings before interest and taxes to interest, free cash flow to interest, and free cash flow to debt service and other applicable ratios, and after extensive negotiations among parties in interest, it was agreed that XYZ's reorganization capital structure should be as follows.

Postpetition current liabilities	300,000
Internal Revenue Service (IRS) note	50,000
Senior debt	275,000 (a)
Subordinated debt	175,000
Common stock	350,000
Reorganization capital structure	<u>1,150,000 (b)</u>

- (a) Due \$50,000 per year for each of the next 4 years, at 12% interest, with \$75,000 due in the fifth year.
- (b) See the table in paragraph 852-10-55-10 for the balance sheet adjustments required to reflect XYZ Company's reorganization value as of the date of plan confirmation.

852-10-55-9

The following entries record the provisions of the plan and the adoption of fresh-start reporting.

Entries to record debt discharge:		
Liabilities subject to compromise	\$ 1,100,000	
Senior debt—current		\$ 50,000
Senior debt—long-term		225,000
IRS note		50,000
Cash		150,000
Subordinated debt		175,000
Common stock (new)		86,000
Additional paid-in capital		215,000
Gain on debt discharge		149,000
Entries to record exchange of stock for stock:		
Preferred stock	325,000	
Common stock (old)	75,000	
Common stock (new)		14,000
Additional paid-in capital		386,000
Entries to record the adoption of fresh-start reporting and to eliminate the deficit:		
Inventory	50,000	
Property, plant and equipment	175,000	
Reorganization value in excess of amounts allocable to identifiable assets	175,000	
Gain on debt discharge	149,000	
Additional paid-in capital	351,000	
Goodwill		200,000
Deficit		700,000

PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

The following entries record the provisions of the plan and the adoption of fresh-start reporting.

Entries to record debt discharge:		
Liabilities subject to compromise	\$1,100,000	
Senior debt—current		\$ 50,000
Senior debt—long-term		225,000
IRS note		50,000
Cash		150,000
Subordinated debt		175,000
Common stock (new)		86,000
Additional paid-in capital		215,000
Gain on debt discharge		149,000
Entries to record exchange of stock for stock:		
Preferred stock	325,000	
Common stock (old)	75,000	
Common stock (new)		14,000
Additional paid-in capital		386,000
Entries to record the adoption of fresh-start reporting and to eliminate the deficit:		
Inventory	50,000	
Property, plant, and equipment	175,000	
Goodwill (new)	175,000	
Gain on debt discharge	149,000	
Additional paid-in capital	351,000	
Goodwill (old)		200,000
Deficit		700,000

852-10-55-10

The effect of the plan of reorganization on XYZ Company's balance sheet, as of June 30, 19X2, is as follows.

		Adjustments to Record Confirmation of Plan			XYZ Company's Reorganized Balance Sheet
	Preconfirmation	Debt discharge	Exchange of stock	Fresh start	
Assets:					
Current Assets					
Cash	\$ 200,000	\$ (150,000)			\$ 50,000
Receivables	250,000				250,000
Inventory	175,000			\$ 50,000	225,000
Assets held for sale	25,000				25,000
Other current assets	25,000				25,000
	675,000	(150,000)		50,000	575,000
Property, plant, and equipment	175,000			175,000	350,000
Assets held for sale	50,000				50,000
Goodwill	200,000			(200,000)	
Reorganization value in excess of amounts allocable to identifiable assets				175,000	175,000
	<u>\$ 1,100,000</u>	<u>\$ (150,000)</u>		<u>\$ 200,000</u>	<u>\$ 1,150,000</u>
Liabilities and Shareholders' Deficit:					
Liabilities Not Subject to Compromise					
Current liabilities					
Short-term borrowings	\$ 25,000				\$ 25,000
Current maturities of senior debt		\$ 50,000			50,000
Accounts payable trade	175,000				175,000
Other liabilities	100,000				100,000
	300,000	50,000			350,000
Liabilities Subject to Compromise					
Prepetition liabilities	1,100,000	(1,100,000)			
IRS note		50,000			50,000
Senior debt, less current maturities		225,000			225,000
Subordinated debt		175,000			175,000
Shareholders' deficit:					
Preferred stock	325,000		\$ (325,000)		
Additional paid-in capital		215,000	386,000	\$ (351,000)	250,000
Common stock—old	75,000		(75,000)		
Common stock—new		86,000	14,000		100,000
Retained earnings (deficit)	(700,000)	149,000		700,000	
	(300,000)	450,000	-	(149,000)	
	<u>\$ 1,100,000</u>	<u>\$ (150,000)</u>	<u>\$ -</u>	<u>\$ 200,000</u>	<u>\$ 1,150,000</u>

PENDING CONTENT



Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

The effect of the plan of reorganization on XYZ Company's balance sheet, as of June 30, 19X2, is as follows.

		Adjustments to Record Confirmation of Plan			XYZ Company's
					Reorganized
					Balance Sheet
Assets:					
Current Assets					
Cash	\$ 200,000	\$ (150,000)			\$ 50,000
Receivables	250,000				250,000
Inventory	175,000			\$ 50,000	225,000
Assets held for sale	25,000				25,000
Other current assets	25,000				25,000
	675,000	(150,000)		50,000	575,000
Property, plant, and equipment	175,000			175,000	350,000
Assets held for sale	50,000				50,000
Goodwill—old	200,000			(200,000)	
Goodwill—new				175,000	175,000
	\$ 1,100,000	\$ (150,000)		\$ 200,000	\$ 1,150,000
Liabilities and					
Shareholders' Deficit:					
Liabilities Not Subject to Compromise					
Current liabilities					
Short-term borrowings	\$ 25,000				\$ 25,000
Current maturities of senior debt		\$ 50,000			50,000
Accounts payable trade	175,000				175,000
Other liabilities	100,000				100,000
	300,000	50,000			350,000
Liabilities Subject to Compromise					
Prepetition liabilities	1,100,000	(1,100,000)			
IRS note		50,000			50,000
Senior debt, less current maturities		225,000			225,000
Subordinated debt		175,000			175,000
Shareholders' deficit:					
Preferred stock	325,000		\$ (325,000)		
Additional paid-in capital		215,000	386,000	\$ (351,000)	250,000
Common stock—old	75,000		(75,000)		
Common stock—new		86,000	14,000		100,000
Retained earnings (deficit)	(700,000)	149,000		700,000	
	(300,000)	450,000	-	(149,000)	350,000
	\$ 1,100,000	\$ (150,000)	\$ -	\$ 200,000	\$ 1,150,000

852-10-55-11

The following illustrative disclosure discusses the details of XYZ Company's [confirmed plan](#) of reorganization. In this illustration a tabular presentation entitled Plan of Reorganization Recovery Analysis is incorporated in the note disclosure. The plan of reorganization recovery analysis may alternatively be presented as supplementary information to the financial statements.

Note X - Plan of Reorganization

On June 30, 19X2, the Bankruptcy Court confirmed the Company's plan of reorganization. The Company accounted for the reorganization using fresh-start reporting. Accordingly, all assets and liabilities are adjusted to fair value in accordance with accounting requirements for business combinations under ASC Topic [805](#). The excess of reorganization value over the fair value of tangible and intangible assets was recorded as "reorganization value in excess of amounts allocable to identifiable assets." The confirmed plan provided for the following:

Secured Debt—The Company's \$300,000 of secured debt (secured by a first mortgage lien on a building located in Nashville, Tennessee) was exchanged for \$150,000 in cash and a \$150,000 secured note, payable in annual installments of \$27,300 commencing on June 1, 19X3, through June 1, 19X6, with interest at 12% per annum, with the balance due on June 1, 19X7.

Priority Tax Claims—Payroll and withholding taxes of \$50,000 are payable in equal annual installments commencing on July 1, 19X3, through July 1, 19X8, with interest at 11% per annum.

Senior Debt—The holders of approximately \$275,000 of senior subordinated secured notes received the following instruments in exchange for their notes: \$87,000 in new senior secured debt, payable in annual installments of \$15,800 commencing March 1, 19X3, through March 1, 19X6, with interest at 12% per annum, secured by first liens on certain property, plants, and equipment, with the balance due on March 1, 19X7; \$123,000 of subordinated debt with interest at 14% per annum due in equal annual installments commencing on October 1, 19X3, through October 1, 19X9, secured by second liens on certain property, plant, and equipment; and 11.4% of the new issue of outstanding voting common stock of the Company.

Trade and Other Miscellaneous Claims—The holders of approximately \$225,000 of trade and other miscellaneous claims received the following for their claims: \$38,000 in senior secured debt, payable in annual installments of \$6,900 commencing March 1, 19X3, through March 1, 19X6, with interest at 12% per annum, secured by first liens on certain property, plants, and equipment, with the balance due on March 1, 19X7; \$52,000 of subordinated debt, payable in equal annual installments commencing October 1, 19X3, through October 1, 19X8, with interest at 14% per annum; and 25.7% of the new issue of outstanding voting common stock of the Company.

Subordinated Debentures—The holders of approximately \$250,000 of subordinated unsecured debt received, in exchange for the debentures, 48.9% of the new issue outstanding voting common stock of the Company.

Preferred Stock—The holders of 3,250 shares of preferred stock received 12% of the outstanding voting common stock of the new issue of the Company in exchange for their preferred stock.

Common Stock—The holders of approximately 75,000 outstanding shares of the Company's existing common stock received, in exchange for their shares, 2% of the new outstanding voting common stock of the Company.

The following table (Plan of Reorganization Recovery Analysis) summarizes the adjustments required to record the reorganization and the issuance of the various securities in connection with the implementation of the plan.

	Recovery									
	Elimination of Debt and Equity	Surviving Debt	Cash	IRS Note	Senior Debt	Subordinated Debt	Common Stock ^(a)		Total Recovery	
							%	Value	\$	%
Postpetition liabilities	\$ 300,000	\$ 300,000							\$ 300,000	100%
Claim or interest										
Secured debt	300,000		\$ 150,000		\$ 150,000				300,000	100
Priority tax claim	50,000			\$ 50,000					50,000	100
Senior debt	275,000	\$ (25,000)			87,000	\$ 123,000	11.4%	\$ 40,000	250,000	91
Trade and other miscellaneous claims	225,000	(45,000)			38,000	52,000	25.7	90,000	180,000	80
Subordinated debentures	250,000	(79,000)					48.9	171,000	171,000	68
	<u>1,100,000</u>									
Preferred stockholders	325,000	(283,000)					12.0	42,000	42,000	
Common stockholders	75,000	(68,000)					2.0	7,000	7,000	
Deficit	<u>(700,000)</u>	<u>700,000</u>								
Total	<u>\$ 1,100,000</u>	<u>\$ 200,000</u>	<u>\$ 300,000</u>	<u>\$ 50,000</u>	<u>\$ 275,000</u>	<u>\$ 175,000</u>	<u>100.0%</u>	<u>\$ 350,000</u>	<u>\$ 1,300,000</u>	

(a) The aggregate par value of the common stock issued under the plan is \$100,000.

PENDING CONTENT



Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

The following illustrative disclosure discusses the details of XYZ Company's [confirmed plan](#) of reorganization. In this illustration a tabular presentation entitled Plan of Reorganization Recovery Analysis is incorporated in the note disclosure. The plan of reorganization recovery analysis may alternatively be presented as supplementary information to the financial statements.

Note X - Plan of Reorganization

On June 30, 19X2, the Bankruptcy Court confirmed the Company's plan of reorganization. The Company accounted for the reorganization using fresh-start reporting. Accordingly, all assets and liabilities are adjusted to fair value in accordance with accounting requirements for business combinations under ASC Topic [805](#). The excess of reorganization value over the fair value of tangible and intangible assets was recorded as "Goodwill (new)." The confirmed plan provided for the following:

Secured Debt—The Company's \$300,000 of secured debt (secured by a first mortgage lien on a building located in Nashville, Tennessee) was exchanged for \$150,000 in cash and a \$150,000 secured note, payable in annual installments of \$27,300 commencing on June 1, 19X3, through June 1, 19X6, with interest at 12% per annum, with the balance due on June 1, 19X7.

Priority Tax Claims—Payroll and withholding taxes of \$50,000 are payable in equal annual installments commencing on July 1, 19X3, through July 1, 19X8, with interest at 11% per annum.

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Trade and Other Miscellaneous Claims—The holders of approximately \$225,000 of trade and other miscellaneous claims received the following for their claims: \$38,000 in senior secured debt, payable in annual installments of \$6,900 commencing March 1, 19X3, through March 1, 19X6, with interest at 12% per annum, secured by first liens on certain property, plants, and equipment, with the balance due on March 1, 19X7; \$52,000 of subordinated debt, payable in equal annual installments commencing October 1, 19X3, through October 1, 19X8, with interest at 14% per annum; and 25.7% of the new issue of outstanding voting common stock of the Company.

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The following table (Plan of Reorganization Recovery Analysis) summarizes the adjustments required to record the reorganization and the issuance of the various securities in connection with the implementation of the plan.

		Recovery									
		Elimination of Debt and Equity	Surviving Debt	Cash	IRS Note	Senior Debt	Subordinated Debt	Common Stock ^(*)		Total Recovery	
								%	Value	\$	%
Postpetition liabilities	\$ 300,000		\$ 300,000							\$ 300,000	100%
Claim or Interest											
Secured debt	200,000			\$ 150,000		\$ 150,000				200,000	100%

(a) The aggregate par value of the common stock issued under the plan is \$100,000

an accumulated deficit and/or prevent future charges to its income statement that otherwise would be made. The accounting permitted through such a procedure is an exception to the general rule discussed in paragraph [852-20-25-2](#).

852-20-05-2 Readjustments of this kind fall in the category of what are called quasi-reorganizations. This Subtopic does not deal with the general question of quasi-reorganizations, but only with cases in which the exception permitted in paragraph [852-20-25-2](#) is availed of by a corporation. Such cases are referred to as readjustments. The accounting and reporting issues that arise and are addressed in this Subtopic consist of what is permitted in a readjustment and what is permitted thereafter.

852-20-05-3 This Subtopic does not address quasi-reorganizations involving only deficit reclassifications.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

852-20-15-1 The guidance in this Subtopic applies to all public and nonpublic entities that are corporations.

> Transactions

852-20-15-2 The guidance in this Subtopic applies only to readjustments in which the current income, or retained earnings or accumulated deficit account, or the income account of future years is relieved of charges that would otherwise be made against it, and is therefore limited to readjustments of the type specified in paragraph [852-20-25-2](#).

852-20-15-3 The guidance in this Subtopic does not apply to the following transactions and activities:

- a. Quasi-reorganizations involving only deficit reclassifications
- b. Charges against additional paid-in capital in other types of readjustments such as readjustments for the purpose of correcting erroneous credits made to additional paid-in capital in the past
- c. Financial reporting for entities that enter and intend to emerge from [Chapter 11](#) reorganization, at the time of such reorganization.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Bankruptcy Code

A federal statute, enacted October 1, 1979, as title 11 of the United States Code by the Bankruptcy Reform Act of 1978, that applies to all cases filed on or after its enactment and that provides the basis for the current federal bankruptcy system.

Chapter 11

A reorganization action, either voluntarily or involuntarily initiated under the provisions of the [Bankruptcy Code](#), that provides for a reorganization of the debt and equity structure of the business and allows the business to continue operations. A debtor may also file a plan of liquidation under Chapter 11.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

- 852-20-25-1** This Section addresses the conditions under which a corporation may recognize a readjustment of its retained earnings or accumulated deficit balance.
- 852-20-25-2** The general requirement is that additional paid-in capital, however created, shall not be used to relieve the income account of the current or future years of charges that would otherwise be made to the income account. As an exception to this requirement, if a reorganized entity would be relieved of charges that would be required to be made against income if the existing corporation were continued, it may be permissible to accomplish the same result without reorganization provided the facts were as fully revealed to and the action as formally approved by the shareholders as in reorganization.
- 852-20-25-3** If a corporation elects to restate its assets, capital stock, additional paid-in capital, and retained earnings or accumulated deficit through a readjustment and therefore avail itself of permission to

relieve its future income account or retained earnings account of charges that would otherwise be made against it, it shall make a clear report to its shareholders of the restatements proposed to be made, and obtain their formal consent. It shall present a fair balance sheet as at the date of the readjustment, in which the adjustment of carrying amounts is reasonably complete, in order that there may be no continuation of the circumstances that justify charges to additional paid-in capital.

- 852-20-25-4** When the amounts to be written off in a readjustment have been determined, they shall be charged first against retained earnings to the full extent of such retained earnings; any balance may then be charged against additional paid-in capital. An entity that has subsidiaries shall apply this rule in such a way that no consolidated retained earnings survive a readjustment in which any part of losses has been charged to additional paid-in capital. If the retained earnings of any subsidiaries cannot be applied against the losses before application against additional paid-in capital, the parent entity's interest in such retained earnings shall be regarded as capitalized by the readjustment just as retained earnings at the date of acquisition is capitalized, so far as the parent is concerned.
- 852-20-25-5** The effective date of the readjustment, from which the income of the entity is subsequently determined, shall be as near as practicable to the date on which formal consent of the stockholders is given, and shall ordinarily not be before the close of the last completed fiscal year. When the readjustment has been completed, the entity's accounting shall be substantially similar to that appropriate for a new entity.
- 852-20-25-6** Additional paid-in capital originating in such a readjustment is restricted in the same manner as that of a new corporation; charges against it shall be only those which may properly be made against the additional paid-in capital of a new corporation.
- 852-20-25-7** The accounting for tax benefits arising from deductible temporary differences and carryforwards related to a readjustment is addressed in Subtopic [852-740](#).

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 852-20-30-1** This Section provides guidance on the adjustment of accounts required by paragraph [852-20-25-3](#) as of the readjustment date in connection with the readjustments addressed by this Subtopic.
- 852-20-30-2** A write-down of assets below amounts that are likely to be subsequently realized, though it may result in conservatism in the balance sheet at the readjustment date, may also result in overstatement of earnings or of retained earnings when the assets are subsequently realized. Therefore, in general, assets shall be carried forward as of the date of readjustment at fair and not unduly conservative amounts, determined with due regard for the accounting to be subsequently employed by the entity.
- 852-20-30-3** If the fair value of any asset is not readily determinable a conservative estimate may be made, but in that case the amount shall be described as an estimate. Paragraph [852-20-35-2](#) describes the

subsequent accounting for any material difference arising through realization or otherwise and not attributable to events occurring or circumstances arising after that date.

- 852-20-30-4** Similarly, if potential losses or charges are known to have arisen before the date of readjustment but such amounts are then indeterminate, provision may properly be made to cover the maximum probable losses or charges.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 852-20-35-1** Section [852-20-30](#) addresses the adjustments required to be made at the date of a readjustment addressed by this Subtopic. This Section addresses the subsequent accounting if the amounts determined as of the date of readjustment are found to have been excessive or insufficient.

- 852-20-35-2** If the fair value of any asset was not readily determinable and a conservative estimate was made at the date of the readjustment, any material difference arising through realization or otherwise and not attributable to events occurring or circumstances arising after that date shall not be carried to income or retained earnings. Similarly, if provisions for losses or charges established at the date of readjustment are subsequently found to have been excessive or insufficient, the difference shall not be carried to retained earnings nor used to offset losses or gains originating after the readjustment, but shall be recorded as additional paid-in capital.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 852-20-50-1** This Section addresses an entity's disclosure requirements for periods following a readjustment within the scope of this Subtopic.

852-20-50-2 After such a readjustment, retained earnings previously accumulated cannot properly be carried forward under that title. A new retained earnings account shall be established, dated to show that it runs from the effective date of the readjustment, and this dating shall be disclosed in financial statements until such time as the effective date is no longer deemed to possess any special significance. The dating of retained earnings following a quasi-reorganization would rarely, if ever, be of significance after a period of 10 years. There may be exceptional circumstances in which the discontinuance of the dating of retained earnings could be justified at the conclusion of a period less than 10 years.

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

852-20-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	852-20-S99-2	Amended	Accounting Standards Update No. 2012-03	08/27/2012

S25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Quasi-Reorganization

852-20-S25-1 See paragraph [852-20-S99-1](#), CFRR 210, for conditions necessary to effect a quasi-reorganization.

S55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Quasi-Reorganization

852-20-S55-1 See paragraph [852-20-S99-2](#), SAB Topic 5.S, Question 1, for SEC Staff views on reclassifying accumulated deficit without satisfying the conditions in CFRR 210 for reorganization.

> Implementing a Change in Accounting Principle in Conjunction with a Quasi-Reorganization

852-20-S55-2 See paragraph [852-20-S99-2](#), SAB Topic 5.S, Question 2, for SEC Staff views on implementing an accounting change in conjunction with a quasi-reorganization.

> Write-Up of Net Assets in Conjunction with a Quasi-Reorganization

852-20-S55-3 See paragraph [852-20-S99-2](#), SAB Topic 5.S, Question 3, for SEC Staff views on writing up assets in conjunction with a quasi-reorganization.

> Accounting for the Subsequent Recognition of Tax Benefits that Existed at the Date of a Quasi-Reorganization

852-20-S55-4 See paragraph [852-20-S99-2](#), SAB Topic 5.S, Question 4, for SEC Staff views on accounting for the subsequent recognition of tax benefits that existed at the date of a quasi-reorganization.

> "Undoing" a Quasi-Reorganization

852-20-S55-5 See paragraph [852-20-S99-2](#), SAB Topic 5.S, Question 5, for SEC Staff views on undoing a previous quasi-reorganization.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Codification of Financial Reporting Releases

· · > FRR 210. Quasi-reorganization

852-20-S99-1 The following is the text of FRR 210. Quasi-reorganization.

ASR 25: (5/29/41)

Inquiry has been made from time to time as to the conditions under which a quasi-reorganization has come to be applied in accounting to the corporate procedures in the course of which a company, without the creation of a new corporate entity and without the intervention of formal court proceedings, is enabled to eliminate a deficit whether resulting from operations of the recognition of other losses or both and to establish a new earned surplus account for the accumulation of earnings subsequent to the date selected as the effective date of the quasi-reorganization.

It has been the Commission's view for some time that a quasi-reorganization may not be considered to have been effected unless at least all the following conditions exist:

- (1) Earned surplus, as of the date selected, is exhausted;
- (2) Upon consummation of the quasi-reorganization, no deficit exists in any surplus account;
- (3) The entire procedure is made known to all persons entitled to vote on matters of general corporate policy and the appropriate consents to the particular transactions are obtained in advance in accordance with the applicable law and charter provisions;
- (4) The procedure accomplishes, with respect to the accounts, substantially what might be accomplished in a reorganization by legal proceedings—namely, the restatement of assets in terms of present conditions as well as appropriate modifications of capital and capital surplus, in order to obviate so far as possible necessity of future reorganizations of like nature.

It is implicit in such a procedure that reductions in the carrying value of assets at the effective date may not be made beyond a point which gives appropriate recognition to conditions which appear to have resulted in relatively permanent reductions in asset values; as for example, complete or partial obsolescence, lessened utility value, reduction in investment value due to changed economic conditions, or, in the case of current assets, declines in indicated realization value. It is also implicit in a procedure of this kind that it is not to be employed recurrently but only under circumstances which would justify an actual reorganization of formation of a new

corporation, particularly if the sole or principle purpose of the quasi-reorganization is the elimination of a deficit in earned surplus resulting from operating losses.

In the case of the quasi-reorganization of a parent company, it is an implicit result of such procedure that the effective date should be recognized as having the significance of a date of acquisition of control of subsidiaries. Likewise, in consolidated statements, earned surplus of subsidiaries at the effective date should be excluded from earned surplus on the consolidated balance sheet.

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 5.S, Quasi-Reorganization

852-20-S99-2 The following is the text of SAB Topic 5.S, Quasi-Reorganization.

Facts: As a consequence of significant operating losses and/or recent write-downs of property, plant and equipment, a company's financial statements reflect an accumulated deficit. The company desires to eliminate the deficit by reclassifying amounts from paid-in-capital. In addition, the company anticipates adopting a discretionary change in accounting principles FN21 that will be recorded as a cumulative-effect type of accounting change. The recording of the cumulative effect will have the result of increasing the company's retained earnings.

FN21 Discretionary accounting changes require the filing of a preferability letter by the registrant's independent accountant pursuant to Item 601 of Regulation S-K and Rule 10-01(b)(6) of Regulation S-X, respectively.

Question 1: May the company reclassify its capital accounts to eliminate the accumulated deficit without satisfying all of the conditions enumerated in Section 210 FN22 of the Codification of Financial Reporting Policies for a quasi-reorganization?

FN22 ASR 25.

Interpretive Response: No. The staff believes a deficit reclassification of any nature is considered to be a quasi-reorganization. As such, a company may not reclassify or eliminate a deficit in retained earnings unless all requisite conditions set forth in Section 210 FN23 for a quasi-reorganization are satisfied. FN24

FN23 Section 210 (ASR 25) indicates the following conditions under which a quasi-reorganization can be effected without the creation of a new corporate entity and without the intervention of formal court proceedings: 1. Earned surplus, as of the date selected, is exhausted; 2. Upon consummation of the quasi-reorganization, no deficit exists in any surplus account; 3. The entire procedure is made known to all persons entitled to vote on matters of general corporate policy and the appropriate consents to the particular transactions are obtained in advance in accordance with the applicable laws and charter provisions; 4. The procedure accomplishes, with respect to the accounts, substantially what might be accomplished in a reorganization by legal proceedings - namely, the restatement of assets in terms of present considerations as well as appropriate modifications of capital and capital surplus, in order to obviate, so far as possible, the necessity of future reorganization of like nature.

FN24 In addition, FASB ASC Subtopic [852-20](#), Reorganizations—Quasi-Reorganizations, outlines procedures that must be followed in connection with and after a quasi-reorganization.

Question 2: Must the company implement the discretionary change in accounting principle simultaneously with the quasi-reorganization or may it adopt the change after the quasi-reorganization has been effected?

Interpretive Response: The staff has taken the position that the company should adopt the anticipated accounting change prior to or as an integral part of the quasi-reorganization. Any such accounting change should be effected by following GAAP with respect to the change. FN25

FN25 FASB ASC Topic 250 provides accounting principles to be followed when adopting accounting changes. In addition, many newly-issued accounting pronouncements provide specific guidance to be followed when adopting the accounting specified in such pronouncements.

FASB ASC paragraph 852-20-25-5 (Reorganizations Topic) indicates that, following a quasi-reorganization, an "entity's accounting shall be substantially similar to that appropriate for a new entity." The staff believes that implicit in this "fresh-start" concept is the need for the company's accounting principles in place at the time of the quasi-reorganization to be those planned to be used following the reorganization to avoid a misstatement of earnings and retained earnings after the reorganization. FN26 FASB ASC paragraph 852-20-30-2 states, in part, "... in general, assets should be carried forward as of the date of the readjustment at fair and not unduly conservative amounts, *determined with due regard for the accounting to be subsequently employed by the entity.*" (emphasis added)

FN26 Certain newly-issued accounting standards do not require adoption until some future date. The staff believes, however, that if the registrant intends or is required to adopt those standards within 12 months following the quasi-reorganization, the registrant should adopt those standards prior to or as an integral part of the quasi-reorganization. Further, registrants should consider early adoption of standards with effective dates more than 12 months subsequent to a quasi-reorganization.

In addition, the staff believes that adopting a discretionary change in accounting principle that will be reflected in the financial statements within 12 months following the consummation of a quasi-reorganization leads to a presumption that the accounting change was contemplated at the time of the quasi-reorganization. FN27

FN27 Certain accounting changes require restatement of prior financial statements. The staff believes that if a quasi-reorganization had been recorded in a restated period, the effects of the accounting change on quasi-reorganization adjustments should also be restated to properly reflect the quasi-reorganization in the restated financial statements.

Question 3: In connection with a quasi-reorganization, may there be a write-up of net assets?

Interpretive Response: No. The staff believes that increases in the recorded values of specific assets (or reductions in liabilities) to fair value are appropriate providing such adjustments are factually supportable, however, the amount of such increases are limited to offsetting adjustments to reflect decreases in other assets (or increases in liabilities) to reflect their new fair value. In other words, a quasi-reorganization should not result in a write-up of net assets of the registrant.

Question 4: The interpretive response to question 1 indicates that the staff believes that a deficit reclassification of any nature is considered to be a quasi-reorganization, and accordingly, must satisfy all the conditions of Section 210. FN28 Assume a company has satisfied all the requisite conditions of Section 210, and has eliminated a deficit in retained earnings by a concurrent reduction in paid-in capital, but did not need to restate assets and liabilities by a charge to capital because assets and liabilities were already stated at fair values. How should the company reflect the tax benefits of operating loss or tax credit carryforwards for financial reporting purposes that existed as of the date of the quasi-reorganization when such tax benefits are subsequently recognized for financial reporting purposes?

FN28 See footnote 23.

Interpretive Response: The staff believes FASB ASC Subtopic 852-740, Reorganizations—Income Taxes, requires that any subsequently recognized tax benefits of operating loss or tax credit carryforwards that existed as of the date of a quasi-reorganization be reported as a direct addition to paid-in capital. The staff believes that this position is consistent with the "new company" or "fresh-start" concept embodied in Section 210, FN29 and in existing accounting literature regarding quasi-reorganizations, and with the FASB staff's justification for such a position when they stated that a "new enterprise would not have tax benefits attributable to operating losses or tax credits that arose prior to its organization date. FN30

FN29 Section 210 (ASR 25) discusses the "conditions under which a quasi-reorganization has come to be applied in accounting to the corporate procedures in the course of which a company, without creation of new corporate entity and without intervention of formal court proceedings, is enabled to eliminate a deficit whether resulting from operations or recognition of other losses or both and to establish a new earned surplus account for the accumulation of earnings subsequent to the date selected as the effective date of the quasi-reorganization." It further indicates that "it is implicit in a procedure of this kind that it is not to be employed recurrently, *but only under circumstances which would justify an actual reorganization or formation of a new corporation*, particularly if the sole purpose of the quasi-reorganization is the elimination of a deficit in earned surplus resulting from operating losses." (emphasis added)

FN30 FASB ASC paragraph 852-740-55-4 states in part: "As indicated in paragraph 852-20-25-5, after a quasi-reorganization, the entity's accounting shall be substantially similar to that appropriate for a new entity. As such, any subsequently recognized tax benefit of an operating loss or tax credit carryforward that existed at the date of a quasi-reorganization shall not be included in the determination of income of the "new" entity, regardless of whether losses that gave rise to an operating loss carryforward were charged to income prior to the quasi-reorganization or directly to contributed capital as part of the quasi-reorganization. A new entity would not have tax benefits attributable to operating losses or tax credits that arose prior to its organization date."

The staff believes that all registrants that comply with the requirements of Section 210 in effecting a quasi-reorganization should apply the accounting required by FASB ASC paragraph 852-740-45-3 for the tax benefits of tax carryforward items. FN31 FN32 Therefore, even though the only effect of a quasi-reorganization is the elimination of a deficit in retained earnings because assets and liabilities are already stated at fair values and the revaluation of assets and liabilities is unnecessary (or a write-up of net assets is prohibited as indicated in the interpretive response to question 3 above), subsequently recognized tax benefits of operating loss or tax credit carryforward items should be recorded as a direct addition to paid-in capital.

FN31 [Original footnote removed by SAB 114.]

FN32 FASB ASC paragraph 852-740-45-3 states: "[t]he tax benefit of deductible temporary differences and carryforwards as of the date of a quasi reorganization as defined and contemplated in FASB ASC Subtopic 852-20, ordinarily are reported as a direct addition to contributed capital if the tax benefits are recognized in subsequent years."

Question 5: If a company had previously recorded a quasi-reorganization that only resulted in the elimination of a deficit in retained earnings, may the company reverse such entry and "undo" its quasi-reorganization?

Interpretive Response: No. The staff believes FASB ASC 250, Accounting Changes and Error Corrections, would preclude such a change in accounting. It states: "a method of accounting that was previously adopted for a type of transaction or event that is being terminated *or that was a single, nonrecurring event in the past shall not be changed*." (emphasis added.) FN33

FN33 FASB ASC paragraph 250-10-45-12.